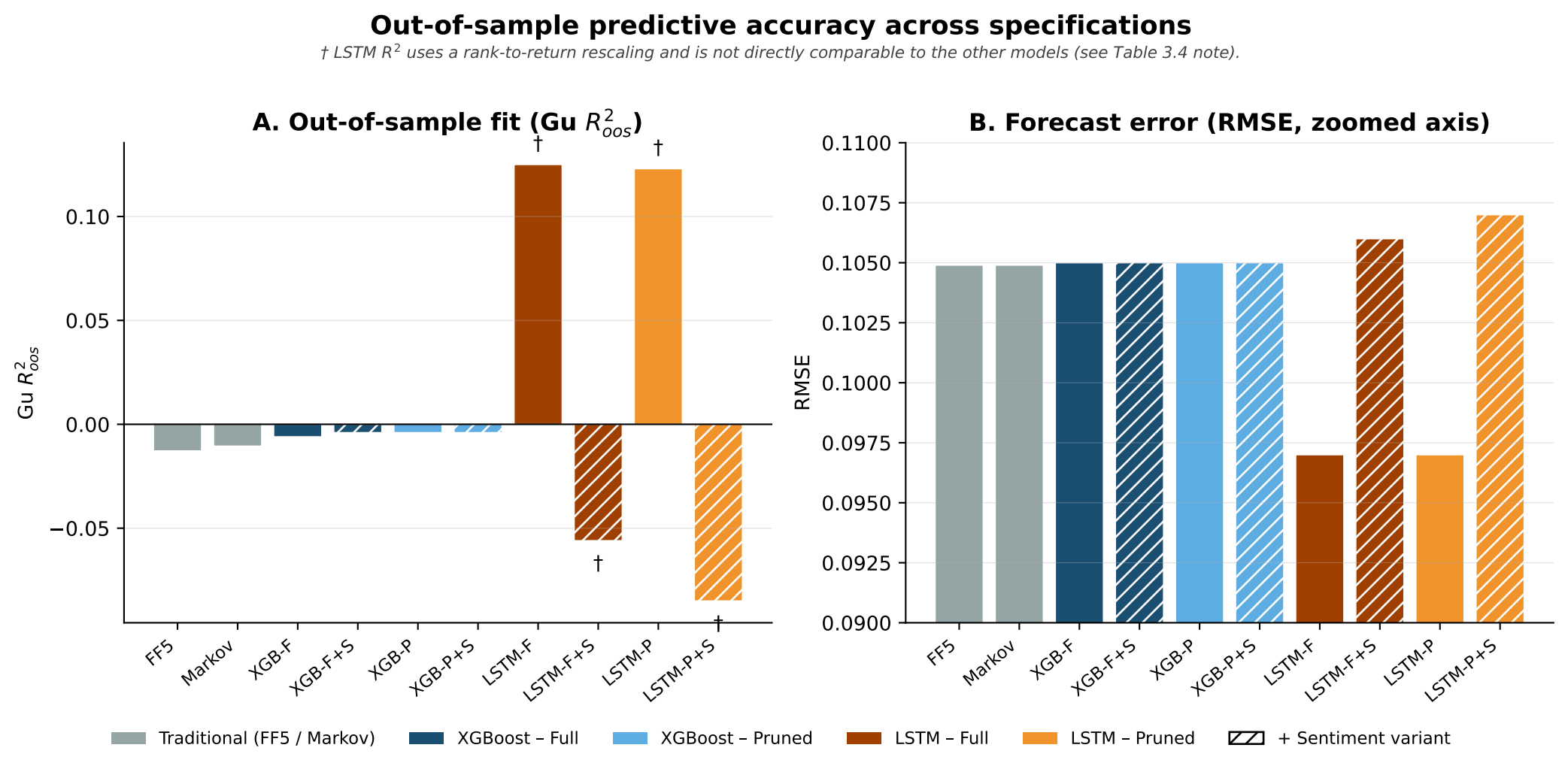
Out-of-sample predictive accuracy across specifications
† LSTM R^2 uses a rank-to-return rescaling and is not directly comparable to the other models (see Table 3.4 note).
A. Out-of-sample fit (Gu R^2_{oos})
Gu R^2_{oos}
0.10
0.05
0.00
−0.05
†
†
†
†
FF5
Markov
XGB-F
XGB-F+S
XGB-P
XGB-P+S
LSTM-F
LSTM-F+S
LSTM-P
LSTM-P+S
B. Forecast error (RMSE, zoomed axis)
RMSE
0.1100
0.1075
0.1050
0.1025
0.1000
0.0975
0.0950
0.0925
0.0900
FF5
Markov
XGB-F
XGB-F+S
XGB-P
XGB-P+S
LSTM-F
LSTM-F+S
LSTM-P
LSTM-P+S
Traditional (FF5 / Markov)
XGBoost – Full
XGBoost – Pruned
LSTM – Full
LSTM – Pruned
+ Sentiment variant